

## (145) Banking and Finance

### Description & Eligibility

Demonstrate and apply fundamental knowledge of the banking industry. This evaluates knowledge of bank operations, bank services, loans, credit administration, and customer service. Any postsecondary or secondary division contestant may enter this application event.

### Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.

### Equipment/Supplies Provided

- Computer and software

### Competition Notes

- Method of evaluation: objective | application.
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area.
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. Violation of this rule will result in disqualification.
- Length of event: no more than ten (10) minutes for orientation, no more than sixty (60) minutes for testing, and no more than ten (10) minutes for wrap-up.
- Entries vary by state.

### Contest Competencies

- Define the roles and purposes of the Federal Reserve
- Evaluate services provided by financial deposit institutions to transfer funds
- Analyze factors that affect the choice of credit, the cost of credit, and the legal aspects of using credit.
- Analyze the functions of commercial paper, secured transactions, and bankruptcy
- Identify the primary functions of banks and other financial institutions
- Distinguish between banks and other financial institutions and the services provided by each.
- Identify basic rules and procedures for handling cash
- Describe the FDIC's role in the banking industry
- Describe procedures for electronic banking
- Define practices related to the use of checks and other negotiable instruments
- Perform the steps needed to open, maintain, and reconcile a checking account
- Describe types of loans and practices related to obtaining a loan
- Define and calculate interest
- Describe the advantages and disadvantages of different savings and investing plans
- Identify government regulations in banking
- Identify procedures for prevention of bank fraud and/or identity theft

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